

# Rigetti Computing, Inc.

RGTI NASDAQ

Hold

\$15.76 ▼ 4.75%

12M Price Target  
\$18.00

52-Week Range  
\$12.16 – \$58.15

Market Cap  
\$5.24B

## RGTI: Quantum Hype Cooling, Competition Heating Up

### WHAT HAPPENED

- Stock is down ~5% today on light volume (9.6M vs typical 17-26M) — that's actually notable. Light-volume selloffs often mean it's not aggressive institutional dumping, more like buyers just walked away. Sentiment cracked after Simply Wall St flagged the 34% revenue decline plus rising share dilution (company issuing more stock, which shrinks your slice of the pie).
- The IQM Nasdaq debut headline is the real story — a well-funded European quantum competitor just went public, meaning more capital chasing the same tiny addressable market. That's a direct headwind for RGTI's narrative.

### WHY IT MATTERS

Here's the thing: RGTI is trading at 8% of its 52-week range, meaning it's near the bottom of where it's been all year — and the price action isn't finding a floor yet. The bullish options flow (put/call of 0.47, meaning traders are buying 2x more upside bets than downside) suggests retail is trying to catch a bounce, but the insider selling (\$1.7M dump by a director at \$20.55 in June) tells you people who know the business best took liquidity when they had it. The bigger inference: quantum computing is entering the "trough of disillusionment" — the phase where the hype fades and only companies with real revenue survive. RGTI's revenue is going the wrong direction (down 34%), which is a huge problem when your entire valuation is a bet on future commercialization.

### POLICY & POLITICAL WATCH

The key policy catalyst is the National Quantum Initiative Reauthorization Act — it expired in 2023 and Congress has been slow-walking the reauthorization, which would unlock ~\$2.7B in federal quantum R&D funding. If it passes this fall (there's bipartisan support but it keeps getting bumped by budget fights), RGTI benefits directly through DARPA and DOE contracts. Also watch the CHIPS Act extensions and any executive order on quantum-safe cryptography — the Biden-era mandate for federal agencies to migrate to post-quantum encryption by 2035 is a slow-burn tailwind, but nothing in the near term moves the needle unless NQI gets reauthorized.

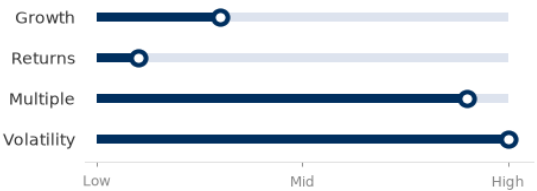
### IS IT EXPENSIVE?

At \$5.24B market cap on ~\$14M expected revenue, investors are paying roughly \$375 for every \$1 of revenue — that's not a valuation, that's a lottery ticket. For comparison, even richly-valued AI names trade at \$20-40x revenue. The only way this math works is if you believe RGTI hits commercial quantum advantage in 3-5 years and revenue explodes 100x — possible, but the recent 34% revenue decline is the market's way of saying "prove it."

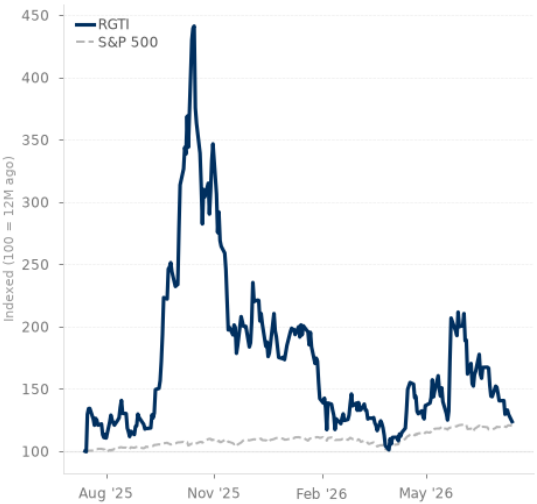
### Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$15.76  |
| 12M Price Target    | \$18.00  |
| Upside / (Downside) | +14.2%   |
| Market Cap          | \$5.24B  |
| FY2026E Revenue     | \$14M    |
| FY2027E Revenue     | \$22M    |
| FY2026E EPS         | (\$0.35) |
| FY2027E EPS         | (\$0.30) |
| Fwd P/E             | N/M      |

### INVESTMENT PROFILE



### 12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$19.00   | \$16.00   | \$13.00   |
| 6 Months  | \$25.00   | \$17.00   | \$11.00   |
| 1 Year    | \$32.00   | \$18.00   | \$9.00    |
| 2 Years   | \$45.00   | \$22.00   | \$7.00    |
| 5 Years   | \$80.00   | \$30.00   | \$4.00    |
| 10 Years  | \$200.00  | \$50.00   | \$2.00    |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Energy (+6% over 5 days) — likely reflecting geopolitical tension and/or summer demand plus any tariff-driven inflation trades. Communication Services also strong on AI-adjacent momentum.

**COOLING OFF:** Speculative tech/quantum names are being sold — this is a "risk-off within tech" moment where investors are trimming pre-revenue stories and holding profitable AI winners.

**ROTATION WATCH:** Money is moving from speculative tech (quantum, small-cap AI) back into energy and defensives. That's a headwind for RGTI specifically because it's the definition of speculative tech.

**RELATED PLAY:** If you want quantum exposure with less binary risk, IONQ has better revenue trajectory and Honeywell (via Quantinuum stake) gives you quantum exposure inside a profitable industrial. Or just own the picks-and-shovels: cryogenic cooling suppliers benefit regardless of which quantum company wins.

WHO'S WINNING IN THIS SPACE?

- QBTS (D-Wave Quantum): Actually generating annealing revenue from commercial customers — the market is rewarding "revenue now" over "revenue someday."
- IONQ (IonQ): Better balance sheet, more government contracts, trapped-ion tech has clearer scaling path in near term.

**RGTI CONTEXT:** RGTI is lagging its peer group hard — trading at 8% of its 52-week range while others hold up better. That relative weakness usually means the smart money has already picked its favorites in the space, and RGTI isn't on the list. Not a bounce candidate until something fundamentally changes.

WHAT I'D DO WITH THIS STOCK

4/10 Conviction Score

**CONVICTION:** 4/10 — Not pounding the table either way. This is a "wait for a catalyst" stock right now, and the tape is telling you to be patient.

**POSITION SIZE:** 1-2% max, and only in a speculative sleeve. The volatility (52-week range of \$12 to \$58) means this can double or halve in months — size it so you can sleep either way.

**ENTRY POINTS:** I'd wait for either (a) a capitulation flush to \$12-13 with high volume, or (b) confirmation of NQI reauthorization progress in Congress. Don't chase in the middle.

**TIME HORIZON:** 12-36 months — you're betting on quantum commercialization + policy tailwinds, both of which move slowly.

**WHEN TO BAIL:** Another dilutive equity raise, revenue declining again next quarter, or a Big Tech quantum breakthrough announcement. Any of those three = exit.

**HEDGING:** Simplest hedge — keep the position small enough it doesn't hurt. If you want to get fancy, pair a long RGTI with a short QBTS or IONQ to isolate company-specific outcomes, or just buy cheap out-of-the-money puts as insurance.